

Compensation & Benefits Policy – Employee Handbook

Effective Date: January 1, 2025

Owner: Human Resources

1. Cost to Company (CTC) Breakdown

1.1 The Cost to Company (CTC) is the total amount the Company spends on an employee per year. It includes salary components and benefits. The monthly salary is 1/12th of the annual CTC, subject to deductions.

1.2 The standard CTC components and percentages for employees at Level 3 and below are:

a) Basic Salary: 40% of CTC – This is the base for calculating provident fund (PF) and other statutory contributions.

b) House Rent Allowance (HRA): 30% of CTC – Paid to employees who live in rented accommodation. For employees living in own homes, HRA is still paid but may be treated differently for tax purposes.

c) Leave Travel Allowance (LTA): 10% of CTC – Paid once per year for travel expenses within the country, subject to submission of tickets and bills.

d) Special Allowance: 15% of CTC – A flexible component that makes up the remainder of take-home pay.

e) Employer Provident Fund (PF) Contribution: 12% of Basic – The Company contributes an amount equal to 12% of the employee's basic salary to a government provident fund account.

f) Medical Insurance Premium: Approximately 3% of CTC – Covers employee, spouse, and up to two children.

2. In-Hand Salary Calculation

2.1 In-hand salary is the amount credited to the employee's bank account after the following monthly deductions:

a) Employee PF Contribution: 12% of Basic Salary.

b) Professional Tax: ₹200 per month (in states where applicable).

c) Tax Deducted at Source (TDS): Based on the employee's estimated annual tax liability, divided equally across months.

d) Meal Voucher Deduction (if applicable): For employees enrolled in the meal coupon program, a nominal deduction of ₹50 per month is applied.

2.2 Example calculation for a hypothetical CTC of ₹12,00,000 per year:

Monthly basic = ₹40,000, HRA = ₹30,000, Special Allowance = ₹15,000. Employee PF deduction = ₹4,800, Professional Tax = ₹200, TDS approx = ₹5,000. Total deductions = ₹10,000. In-hand = ₹75,000 per month.

2.3 For accurate in-hand calculation, employees may use the HR portal's salary calculator or ask their HR business partner for a personalized projection.

3. Salary Crediting Schedule

3.1 Salaries are credited on the last working day of every month. If the last working day falls on a weekend or public holiday, salaries are credited on the previous working day.

3.2 New hires joining on the 1st of the month receive a full month's salary. Those joining after the 1st receive a prorated salary based on the number of calendar days remaining in the month.

3.3 Employees leaving the Company will receive their final settlement within 15 business days of their last working day, including salary for days worked, any unused leave encashment, and deductions for unreturned assets.

4. Annual Bonus

4.1 Eligible employees (those who have completed at least 90 days of service in the performance year) may receive an annual bonus of up to 15% of their annual basic salary.

4.2 The actual bonus percentage depends on:

a) Individual performance rating (5-point scale):

- Exceeds Expectations (5/5): 15% bonus
- Meets Expectations (4/5): 10% bonus
- Needs Improvement (3/5): 5% bonus
- Below Expectations (2/5 or 1/5): 0% bonus

b) Company performance factor (0.8x to 1.2x) set by the Board based on annual revenue and profit.

4.3 Bonuses are paid in the March payroll following the performance year. Employees who resign before March 31 forfeit the bonus unless their last working day is after February 15.

5. Benefits – Medical Insurance

5.1 Medical insurance covers the employee, spouse, and up to two children under age 26. The policy includes:

- Hospitalization: Up to ₹5,00,000 per family per year
- Pre-existing diseases covered after 24 months
- Maternity benefits: Up to ₹50,000 for normal delivery, ₹75,000 for C-section

5.2 Employees may add parents or parents-in-law to the policy at their own cost (approximately ₹15,000 per parent per year). Enrollment during open enrollment in December only.

5.3 Dental and vision insurance are optional and available at employee cost (approx ₹2,500 per year for dental, ₹1,500 for vision). These can be enrolled at any time but have a 30-day waiting period.